

But during normal market conditions, the price will not show any gap open and displays balanced open (open close to the middle of the previous day range), and it moves up and down within the previous day price range levels.

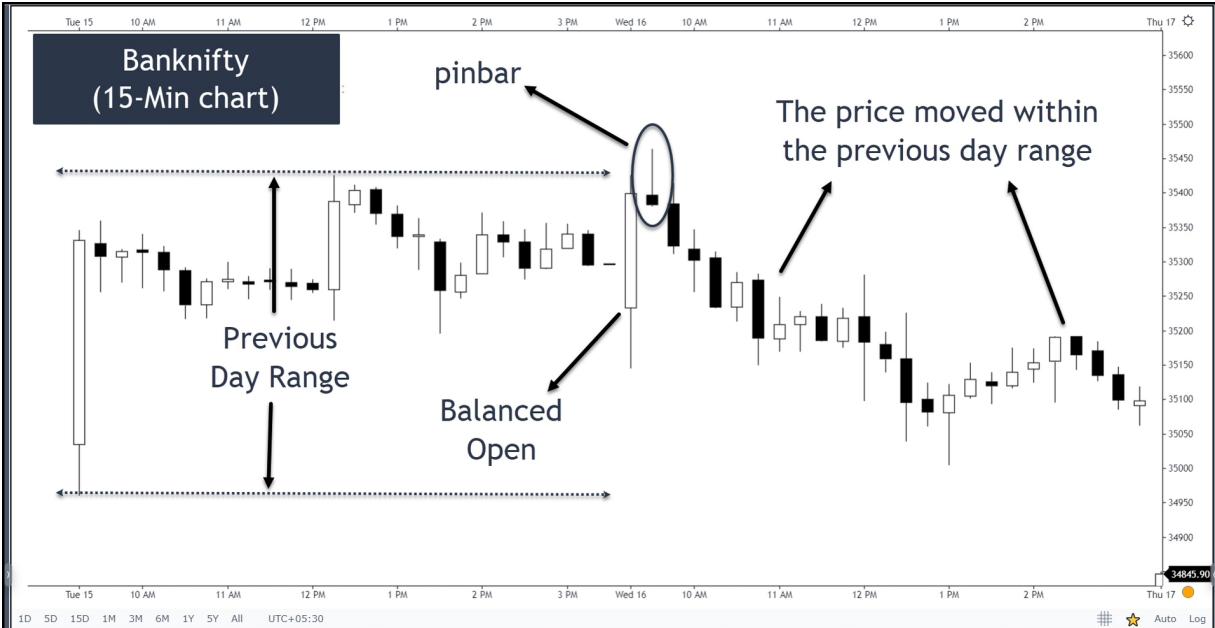


Image 5.5 – Balanced Open Scenario in Banknifty

The above shows an example of a balanced open scenario in Banknifty. On 16th June, it opened at the middle of the previous day range, indicating that no fundamental change happened overnight.

Besides, it failed to break the previous day high and displayed a 'Pinbar' pattern. It indicates there is a high probability of a sideways move inside the previous day range.